

Pearson Edexcel International GCSE

Predicted Paper — HARD

4EC1/01 Economics Level 1/2

PAPER 1: Microeconomics and Business Economics

Time: 1 hour 30 minutes

Total Marks: 80

You do not need any other materials. Calculators may be used.

Instructions

- Use black ink or ball-point pen.
- Answer all questions.
- Answer the questions in the spaces provided — there may be more space than you need.
- Calculators may be used.
- You are advised to show all your working out with your answer clearly identified at the end of your solution.

Information

- The total mark for this paper is 80.
- The marks for each question are shown in brackets — use this as a guide as to how much time to spend on each question.

Advice

- Read each question carefully before you start to answer it.
- Try to answer every question.
- Check your answers if you have time at the end.

Answer ALL questions. Write your answers in the spaces provided.

Some questions must be answered with a cross in a box ☒. If you change your mind about an answer, put a line through the box and then mark your new answer with a cross.

1 (a) Which one of the following values shows price elastic supply? (1)

- ☐ A 0
- ☐ B 0.4
- ☐ C 1
- ☐ D 2.5

(b) A worker earns a minimum wage of €9.20 per hour for a standard week of 36 hours. For any additional hour worked, they are paid 1.5 times the standard rate. In a week where the worker completes 40 hours, the total wage earned is (1)

- ☐ A €331.20
- ☐ B €368.00
- ☐ C €386.40
- ☐ D €552.00

(c) What is meant by the term market economy? (2)

.....

.....

.....

.....

(d) State one example of an occupation that is in the secondary sector of an economy. (1)

.....

.....

(e) Define the term public sector. (1)

.....

.....

(f) Calculate, to two decimal places, the cross elasticity of demand (XED) between butter and margarine if the price of butter rises by 8% and the quantity demanded of margarine rises by 14%. You are advised to show your working. (2)

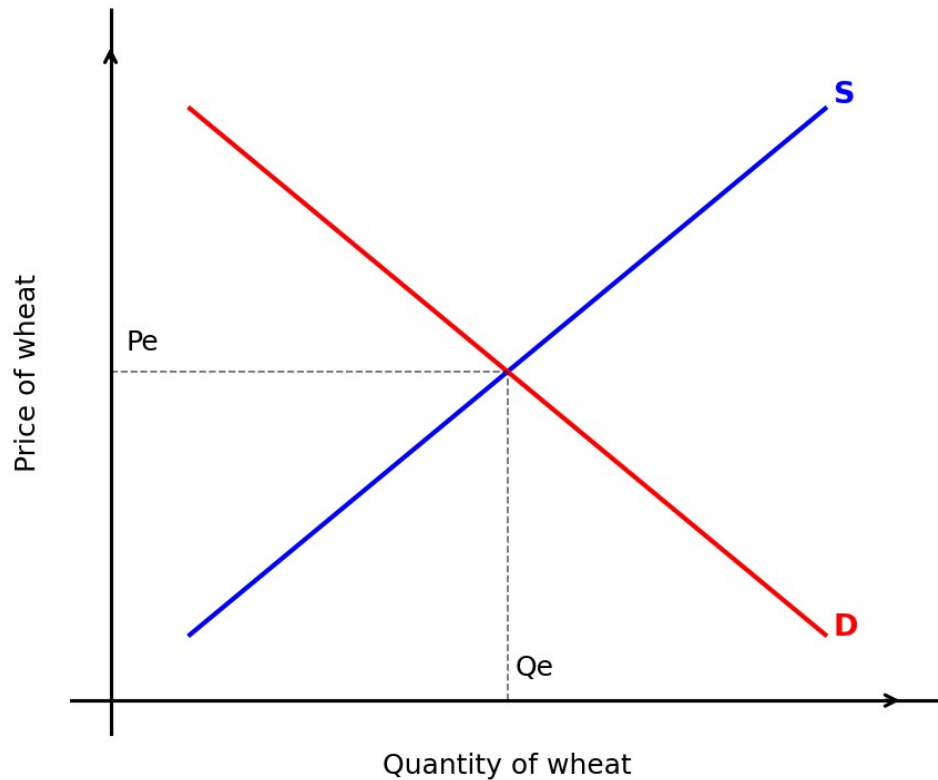
.....

.....

.....

.....

(g) Figure 1 shows the market for wheat. Using the diagram below, draw the likely effects on the market for wheat if poor weather damages the harvest. Label the new curve, the new equilibrium price and the new equilibrium quantity. (3)



Priya is a qualified accountant who currently earns \$48,000 per year. She has decided to leave her job to study full-time for a Master's degree for two years.

(h) Explain one possible opportunity cost for Priya of this decision. (3)

.....

.....

.....

.....

.....

.....

Nguyen Coffee is a medium-sized coffee exporter based in Vietnam. Rising demand from European retailers has led to record order volumes in 2024. The firm is now considering expanding its production capacity by leasing an additional processing plant and hiring more workers.

(i) With reference to the data above and your knowledge of economics, analyse two possible factors influencing Nguyen Coffee's decision to expand production. (6)

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

(Total for Question 1 = 20 marks)

2 (a) Which one of the following diagrams shows the effect of the government placing a specific indirect tax on a good? (1)

- ☐ **A** A leftward shift of the supply curve, with a higher equilibrium price and a lower equilibrium quantity
- ☐ **B** A rightward shift of the supply curve, with a lower equilibrium price and a higher equilibrium quantity
- ☐ **C** A leftward shift of the demand curve, with a lower equilibrium price and a lower equilibrium quantity
- ☐ **D** A rightward shift of the demand curve, with a higher equilibrium price and a higher equilibrium quantity

(b) Which one of the following is a feature of an oligopoly? (1)

- ☐ **A** A large number of small firms with no market power
- ☐ **B** A few large firms dominate the market
- ☐ **C** Firms sell identical products
- ☐ **D** There are no barriers to entry

(c) Calculate, to two decimal places, the price elasticity of supply (PES) for a good if the price rises by 12% and the quantity supplied rises by 9%. You are advised to show your working. (2)

.....

.....

.....

.....

.....

(d) What is meant by the term private costs? (2)

.....

.....

.....

.....

(e) Describe one feature of perfect competition. (2)

.....

.....

.....

.....

Nadia is the owner of a clothing retailer and wants to maximise profits. However, Samir is the store manager and wants to switch the firm's suppliers to locally sourced, ethical producers — even though these suppliers charge 15% more than the current ones.

(f) Explain one reason why Samir may want to make this switch rather than maximise profits. (3)

[illegible]

Mexico has applied an indirect tax of 1 peso per litre on sugary drinks since 2014. Sales of taxed drinks fell by around 7.6% in the first two years, and fell by more among low-income households. However, critics argue that consumption has since rebounded and that the tax is regressive, hitting poorer households hardest. Some drink producers also reformulated their products to reduce sugar content and avoid the tax.

(g) With reference to the data above and your knowledge of economics, assess the effectiveness of an indirect tax in reducing the consumption of sugary drinks. (9)

This image shows a full page of white paper with horizontal dashed lines, typical of primary school handwriting practice paper. The lines are evenly spaced and run across the width of the page. There are no margins, text, or other markings on the paper.

.....

.....

.....

(Total for Question 2 = 20 marks)

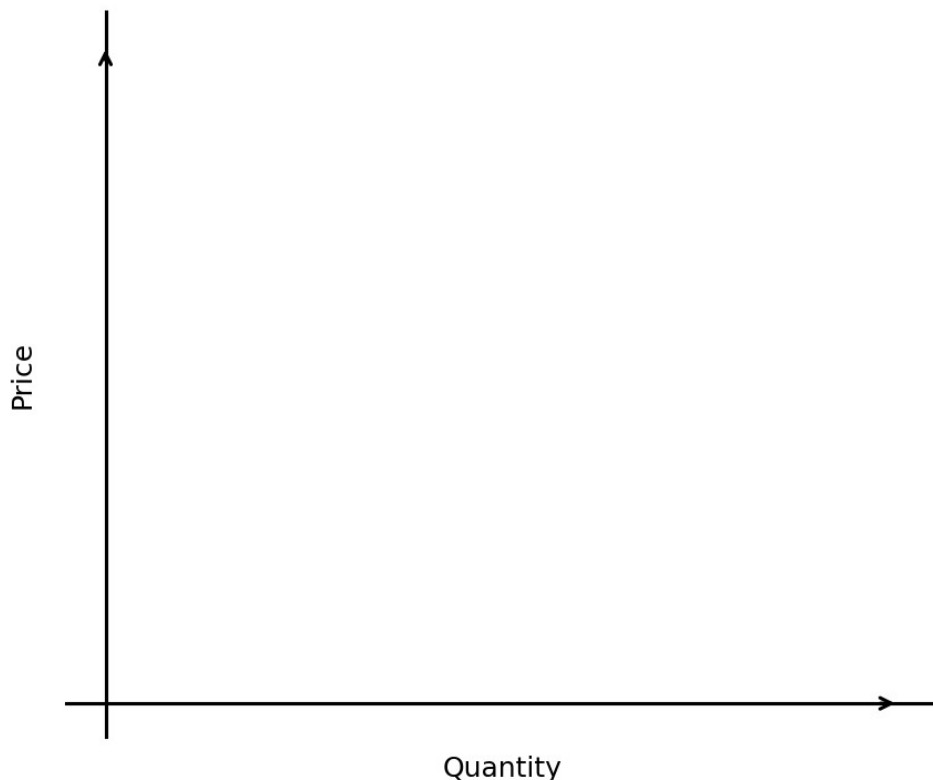
3 (a) An increase in which one of the following is most likely to cause an increase in the demand for labour by a firm? (1)

- ☐ **A** The wage rate paid to workers
- ☐ **B** The demand for the firm's final product
- ☐ **C** The cost of training new workers
- ☐ **D** The school-leaving age

(b) Which one of the following is the formula to calculate average cost? (1)

- ☐ **A** Total cost $\times$ quantity produced
- ☐ **B** Total cost $\div$ quantity produced
- ☐ **C** Total revenue – total cost
- ☐ **D** Quantity produced $\div$ total cost

(c) Using the diagram below, draw a price elastic supply (PES) curve. Label the curve and show the impact on both axes from a change in price. (3)



BMW operates a large car factory in Regensburg, Germany, producing over 300,000 vehicles per year. Production is highly capital-intensive, with much of the assembly work carried out by specialised industrial robots. The factory also employs 9,000 skilled workers who operate and maintain the machinery.

(d) With reference to the data above and your knowledge of economics, analyse the possible advantages for BMW of using capital-intensive production at the Regensburg factory. (6)

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

.....

Luxury cars, such as Porsche and Ferrari models, are sold at high prices and are often bought by wealthier consumers who view them as a status symbol. Petrol is sold at many filling stations across most countries and is needed by anyone who drives an internal combustion engine car. There are few close substitutes for petrol in the short run.

(e) With reference to the data above and your knowledge of economics, assess whether demand is likely to be more price elastic for luxury cars than for petrol. (9)

(Total for Question 3 = 20 marks)

4 Figure 2 shows the weekly costs and revenues of a small furniture workshop.

Fixed costs (\$ per week)	Variable cost (\$ per unit)	Units produced and sold	Selling price (\$ per unit)
1,200	35	80	95

Figure 2

(a) Calculate the weekly profit of the furniture workshop. You are advised to show your working. (2)

[illegible]

Tata Steel operates a large steelworks in Jamshedpur, India, producing around 10 million tonnes of steel per year. The steelworks is located in an industrial region that has a well-trained workforce, specialist component suppliers, and a network of research institutions focused on metals. Many other manufacturers have opened factories in the same region to benefit from these local conditions.

(b) With reference to the data above and your knowledge of economics, analyse how external economies of scale may lead to benefits for Tata Steel. (6)

This image shows a full page of white paper with horizontal ruling lines. The lines are evenly spaced and extend across the width of the page. There are no margins, text, or other markings on the paper.

.....

.....

The government of South Africa has proposed raising the national minimum wage from R27.58 to R32.00 per hour. Supporters argue this will reduce in-work poverty and boost consumer spending in low-income communities. Critics warn that firms may respond by cutting jobs, increasing prices, or investing in automation to replace workers. Unemployment in South Africa already stands at over 30%.

(c) With reference to the data above and your knowledge of economics, evaluate whether workers in South Africa are likely to benefit from this increase in the national minimum wage. (12)

.....

.....

.....

.....

.....

.....

.....

(Total for Question 4 = 20 marks)

TOTAL FOR PAPER = 80 MARKS